FX Daily: ECB hawks can make euro a winner in de-escalation trade

The dollar has taken a hit on a new de-escalation trade. President Trump has now signalled that the war will end in two to three weeks, but plans for the reopening of the Strait of Hormuz remain quite unclear. EUR front-end rates are catching up with the downside today, but hawkish ECB comments can make them stickier and make the euro emerge as an outperformer

Could the euro emerge as an outperformer?

USD: Hormuz remains key for more downside

Markets are making another attempt at playing the de-escalation trade. The trigger was reports that Iranian officials are leaning towards dialogue and Trump explicitly saying the US will end the war within two to three weeks. Many unanswered questions remain on the Strait of Hormuz, and despite a decline, Brent remains above $100/bbl.

Trump is insisting Hormuz is not a US concern and should be up to other NATO countries to reopen it. At the same time, he hinted that once the US leaves the area, the Strait should reopen automatically, and the *WSJ* reported that the UAE is lobbying for a military coalition to end the blockage.

We think some better clarity and timeline on a reopening of the Strait is a necessary condition for DXY to trade back to the 99.0, 23 March lows. That said, the bias seems to be on the downside today.

The highlight in the US calendar is ADP payrolls, expected at 40k. Any soft print here may still be telling us more about fragility in the jobs market into the oil shock rather than already showing a war impact on employment. Either way, it would endorse the ongoing dovish repricing in the Fed curve, which is now attempting to price back in one cut (-11bp by December).

Francesco Pesole

EUR: Watch the pricing resilience

One key theme for the euro moving on is how flexible on the downside ECB rate expectations will be. That's because, as mentioned, markets appear comfortable pricing back Fed easing. After all, the Fed has a dual mandate, and its members have not been too hawkish since the start of the war.

The ECB has only an inflation mandate and its officials have sounded more convincingly hawkish so far. Yesterday, the most dovish Governing Council member, Fabio Panetta, openly discussed preventing a wage-price spiral, and while warning policy action should remain proportionate, the fact that he discusses 'action' as a base case sounds like a nod to hike expectations.

These comments raise the chances that EUR front-end rates will prove sticky on the way down, as markets may require some dovish comments from the ECB to price out hikes even if oil prices keep declining. This morning, markets have abruptly trimmed bets on ECB tightening to 63bp, but there was much more resilience in those hawkish bets yesterday.

A scenario where markets find it much easier to reprice the USD swap curve lower relative to the EUR one in an oil selloff significantly raises the upside potential for EUR/USD. That also increases the euro's potential against other currencies where the rate expectations are more vulnerable to a dovish repricing (like SEK, GBP) or more strictly exposed to oil prices (CAD, NOK)

Since our base case remains no ECB action and two Fed cuts, we remain cautious with our EUR/USD call at 1.160 for the end of 2Q.

Francesco Pesole

GBP: Rates can drop faster than in the eurozone

EUR/GBP faced upside volatility on the back of a tightening rate differential yesterday, but is coming back a bit lower after this morning's drop in ECB pricing.

Aside from Bank of England officials sounding a bit less hawkish in off-meeting comments, two notions can help the dovish repricing be deeper in the UK than the eurozone. First, the BoE was ready to cut before the war started. Second, the growth impact on the UK from the energy shock is expected to be the largest among OECD countries – a dovish argument.

We retain a bias to the upside for EUR/GBP on the back of that, and our expectations that the whole of BoE tightening will also be priced out. In our view, 0.880 remains a realistic target.

Francesco Pesole

CEE: Polish inflation suggests weaker impact of fuel prices on inflation in the region

The first inflation figures for March from Poland indicate a weaker-than-expected impact of high global energy prices. Inflation jumped from 2.1% to 3.0% YoY, but below market expectations. The main and essentially only driver was fuel prices, similar to the eurozone. Fuel prices in Poland jumped by 15.4% MoM, suggesting that elsewhere in the region, especially the Czech Republic, a market most similar to it, without caps, could also be weaker next week.

Today, PMIs for March will be published across the region, which should not yet be fully affected by the start of the US-Iran conflict, given that the survey is conducted around the middle of the month, when it was not yet clear that the conflict would last for a long time. However, the risk here is clearly to the downside compared to our and market expectations.

Yesterday's risk-on sentiment pushed rates down in the CEE region along with core markets, however in FX markets we saw relief only in the case of the forint, which remains the most beta currency in the region. On the other hand, the zloty and the koruna are not seeing much market favour for now. They probably require a longer period of relief and a clearer signal in the global story, given that the previous sell-off was not as severe.

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